FOR CPG, FMCG & LOGISTICS LEADERS · UK · UPDATED MARCH 2026

200–3,000 employees · UK-registered · No equity required

What this guide helps you do

Step 1: Identify your AI goal and the type of spend involved. Step 2: Understand which UK funding mechanisms apply to your situation. Step 3: Check your eligibility for each. Step 4: Know exactly how to apply and what documentation you need. Step 5: Use the 90-day action plan to claim it.

15–35%	20%	£100M	£7.6B
Typical project cost offset when stacked	Merged RDEC rate on qualifying AI R&D;	BridgeAI — explicitly funds food & logistics AI	UK R&D; tax relief claimed FY2024

Page	Section	What you will do
2	**Your AI Project Profile**	Define your AI goal, spend type and company profile — this determines which programmes you qualify for.
3	**Which Funding Applies to You**	Map your AI work to the correct UK funding mechanisms. Includes eligibility criteria for each.
4	**How to Qualify & Apply**	Step-by-step: what HMRC needs for RDEC, how to apply for BridgeAI, and what your R&D adviser will ask
5	**90-Day Action Plan**	Prioritised checklist with owner and deadline fields. Take this to your CPA or R&D adviser meeting.

Important: This guide covers UK-specific mechanisms (RDEC, ERIS, BridgeAI, Innovate UK grants, Full Expensing). All figures and rates are current as of March 2026. Consult a qualified R&D; tax adviser before making any claims.

PAGE 2

Your AI Project Profile

Fill this in before you speak to your R&D; tax adviser, CPA, or apply for any grant. Your answers determine which funding mechanisms apply to you.

PART A — Company Details

Company name	**UK company number**
Annual revenue (£) e.g. £120M	**Number of UK employees** e.g. 850
Industry sector CPG / FMCG / Logistics / Food Manufacturing	**Fiscal year end** e.g. 31 March 2025
Profitable last year? Yes / No — affects ERIS eligibility	**PE-backed?** Yes / No — affects SME size threshold
R&D; tax credits claimed before? Yes / No / Unsure	**R&D; tax adviser / CPA firm**

PART B — Your AI Project

What business problem are you solving with AI?
e.g. Demand forecasting accuracy is at 62% — costing £2M/yr in over-stock. We want to reach 85%+ using ML.

What AI capability are you building or buying?
e.g. Custom demand forecasting model using internal sales + external data. Not an off-the-shelf tool.

Estimated total AI spend Year 1 (£) e.g. £250,000	**Expected start date** e.g. April 2026

PART C — What Type of AI Work Is This?

Tick all that apply. This determines which funding routes are open to you.

- ■ **Custom AI / ML development**
  Building models, data pipelines, integration code, training custom algorithms
  → **RDEC (R&D; tax credit), ERIS (if loss-making SME), BridgeAI grant**

- ■ **AI tools & software deployment**
  Implementing off-the-shelf AI platforms, configuring vendor tools
  → **Full Expensing / AIA on hardware; possible RDEC if technical uncertainty exists**

- ■ **AI hardware / infrastructure investment**
  Servers, GPUs, edge devices, WMS upgrades to support AI workloads
  → **Full Expensing (100% Year 1 deduction) or Annual Investment Allowance (£1M)**

- ■ **AI for manufacturing / food / logistics operations**
  Quality inspection, scheduling, route optimisation, demand forecasting, RGM
  → **RDEC + BridgeAI (explicitly funds these sectors) + possible Smart Grant**

AI team training & upskilling

Workshops, certifications, tool training for existing staff

→ Innovate UK workforce elements; government AI Skills Boost (10M workers target)

PART D — Estimate Your Funding Stack

Fill in your Year 1 AI spend below, then use the rates to estimate your total offset. Bring this to your R&D; adviser meeting.

Staff time on custom AI development (internal engineers, data scientists)	£ ____________	RDEC — ~15–16p per £1	£ ____________
External AI development / data engineering (contractors, specialists)	£ ____________	RDEC — ~15–16p per £1	£ ____________
Cloud compute for model training (AWS, Azure, GCP)	£ ____________	RDEC — ~15–16p per £1	£ ____________
AI hardware (new) (servers, GPUs, edge devices)	£ ____________	Full Expensing — 25% tax saving	£ ____________
AI hardware (used) / WMS upgrades	£ ____________	AIA — up to £1M, 25% tax saving	£ ____________
Grant-eligible project activities (BridgeAI / Smart Grant eligible work)	£ ____________	BridgeAI/Smart Grant — 25–70% covered	£ ____________
	TOTAL: £ ____________	TOTAL ESTIMATED OFFSET:	£ ____________

PAGE 3

Which Funding Applies to You

There are four main UK funding routes for AI in 2026. Use your answers from Page 2 to identify which apply. Not all will — but most mid-market FMCG and logistics companies qualify for at least two.

ROUTE 1

Merged R&D; Expenditure Credit (RDEC)

The biggest single cash-back mechanism. If you're building custom AI, you almost certainly qualify. RDEC is claimed through your Corporation Tax return and returns ~15–16p for every £1 of qualifying AI development spend.

Are you building custom AI — models, pipelines, algorithms — not just subscribing to a SaaS tool?	**✓ You likely qualify for RDEC**	✗ RDEC unlikely to apply. Consider Full Expensing (Route 3) instead.
Is the AI development resolving genuine technical uncertainty — i.e. you don't know at the start which approach will work?	**✓ Core qualification criterion met**	✗ Routine implementation probably doesn't qualify. Get specialist advice.
Did your team experiment, test, and iterate — trying different methods to solve the problem?	**✓ Strong RDEC evidence**	✗ Check with R&D; adviser — may still qualify if uncertainty existed.
Is the work grounded in engineering, computer science, or applied science?	**✓ Technological in nature — qualifies**	✗ Management/planning time, basic prompt use, or data entry do not qualify.

What specifically qualifies in FMCG & Logistics

QUALIFIES: Custom demand forecasting models · RGM analytics algorithms · AI route optimisation engines · Warehouse scheduling ML · Food safety computer vision · Data pipeline engineering for AI. DOES NOT QUALIFY: Off-the-shelf SaaS subscriptions · Basic vendor tool configuration · Staff training on existing tools · Routine data entry or formatting.

ROUTE 2

Innovate UK Grants — BridgeAI & Smart Grants

Free money — no equity, no repayment. BridgeAI explicitly names food processing, logistics and warehousing as priority sectors. Grants run on application cycles (3–6 months lead time). You need a documented AI project plan to apply.

BridgeAI — Innovation Exchange	UK SMEs in food, logistics, warehousing. Can apply as industry partner.	£25K–£50K per project	Rolling competitions (check IFS)	Documented AI adoption plan. Show clear commercial AI goal.
AI Champions — Frontier AI Phase 1	UK-registered SMEs with genuinely novel AI — new-to-world capability.	£3M total pool (per feasibility study)	29 April 2026	Must evidence frontier AI — not incremental improvement.
Innovate UK Smart Grants	All UK businesses. Mid-market CPG/logistics welcome. Co-investment required.	£25K–£500K+ (25–70% of project costs)	Quarterly rounds	Commercial novelty. Technological innovation. Growth narrative.

Innovate UK Growth Catalyst	Scale-up companies with proven AI product. PE-backed businesses welcome.	£130M total fund (share of pool)	Check IFS	Proven product. Clear scale ambition. Co-investment demonstrated.
Innovate UK Innovation Loan	Any UK company incl. large mid-market (>250 employees). Repayable.	Up to £2M (~3.7% p.a.)	Rolling	Late-stage R&D; commercialisation. Business viability demonstrated.

PE-backed? Check your SME status first.

Innovate UK uses EU SME definitions: under 250 employees AND turnover under €50M (or balance sheet under €43M). If your business sits within a large PE portfolio, you must count the group's combined headcount and revenues. You may be classified as a large company — affecting your grant rate. Large companies can still access Smart Grants and Innovation Loans. RDEC and capital allowances apply regardless of size.

ROUTE 3

Capital Allowances on AI Hardware & Infrastructure

If you're buying AI hardware — servers, GPUs, WMS kit — you can deduct 100% of the cost from taxable profit in Year 1. This doesn't require any R&D; activity. Claim it through your standard Corporation Tax return.

Full Expensing (100% FYA)	New qualifying plant & machinery: AI servers, GPUs, edge devices, data centre kit.	No cap	New assets only. Not used/second-hand.	25% of purchase price saved in Year 1
Annual Investment Allowance (AIA)	New AND used qualifying assets: WMS upgrades, refurbished servers, automation hardware.	Up to £1M/yr	Both new and used assets qualify.	25% of qualifying spend up to £1M
Patent Box (if you own AI IP)	Profits from patented AI algorithms, scheduling engines, detection models.	No cap on profits	Must hold registered UK/EP patent on qualifying IP.	10% CT rate vs 25% standard rate

ROUTE 4

Government AI Agenda — New Programmes (March 2026)

The March 2026 Mais Lecture (Chancellor Rachel Reeves) announced several new programmes directly relevant to mid-market FMCG and logistics AI. These complement — not replace — the mechanisms above.

£500M Sovereign AI Unit	Fund to start and scale UK AI businesses. Government acts as first customer for British-built AI.	You are working with UK-built AI solutions and want procurement priority validation.	April 2026 (est.)
Growth Labs	Rapid, temporary regulatory amendments to safely test new AI in regulated environments.	Your food-safety AI or logistics routing AI faces regulatory barriers to live deployment.	2026 (TBD) being legislated
AI Adoption Summit	Government-brokered event connecting tech firms with companies ready to scale AI.	You are at the vendor selection stage for your AI strategy.	H2 2026 Watch DSIT

10M AI Skills Boost + £27M Tech Jobs	Government upskilling programme and employer grants to fill or create tech jobs.	You have a workforce transition or AI talent gap as part of your AI programme.	Underway 2026

PAGE 4

How to Qualify & Apply — Step by Step

This page tells you exactly what each funding body needs from you, and what to do next for each route. Work through only the routes you ticked on Page 2.

HOW TO CLAIM RDEC

What HMRC Needs From You

RDEC is claimed via your Corporation Tax return (CT600). You (or your R&D; adviser) must demonstrate your AI work passes the DSIT Four-Part Test. Here is what each part requires in plain terms.

01 Permitted Purpose

What new or improved function are you developing?

Write one sentence: "We are building [X capability] to achieve [Y measurable outcome] that does not currently exist in our operation." Example: "We are building a custom ML demand forecasting model to improve accuracy from 62% to 85%+ — a capability our current ERP vendor does not offer."

YOUR ANSWER:

02 Technical Uncertainty

What did you not know at the start?

Write down what was genuinely unknown: which algorithm would work, whether your data was sufficient, what accuracy level was achievable. Example: "It was unknown whether a gradient boosting or LSTM approach would achieve target accuracy on our SKU-level weekly data with 18 months of history."

YOUR ANSWER:

03 Process of Experimentation

What alternatives did you test?

Document every approach you tried. Log model iterations, parameter changes, data experiments, comparison of methods. This is your strongest evidence. Example: "We tested 4 model architectures, compared 3 feature engineering approaches, and ran 12 training iterations before achieving target accuracy."

YOUR ANSWER:

04 Technological in Nature

Is this engineering, computer science or applied science?

Confirm the work is grounded in a hard science. ML model development, data pipeline engineering, algorithm design, and computer vision all qualify. Management time, vendor calls, and off-the-shelf configuration do not.

YOUR ANSWER:

WEEKLY AI ACTIVITY LOG — FILL IN EACH WEEK

Date · Activity · Hours · Technical Uncertainty Resolved · Method Tested · Outcome Fill this in weekly — not at year-end. Contemporaneous records are the strongest evidence for RDEC claims. Your R&D; adviser will ask for this.

HOW TO APPLY FOR BRIDGEAI / SMART GRANTS

What Innovate UK Needs From You

1 **Your AI project plan**

A written document covering: (1) What AI you are building, (2) Why existing tools can't solve this, (3) The commercial benefit and financial impact, (4) Your delivery capability. This is the same document that supports your RDEC claim — prepare once, use for both.

2 **Evidence of commercial novelty**

BridgeAI and Smart Grants fund what isn't already commercially available. You must demonstrate your AI goes beyond off-the-shelf tools. Example: "No existing demand forecasting vendor achieves the required accuracy on category-level CPG data at this granularity for UK FMCG operations."

3 **Co-investment commitment**

You must commit to funding 30–75% of eligible project costs yourself (the percentage depends on company size and grant type). Have your Year 1 AI budget approved before applying.

4 **Team and delivery capability**

Show you can deliver. Name your internal lead, your external AI partner, and your data infrastructure. Grants assessors look for credibility.

WHERE TO APPLY

All Innovate UK grants	apply-for-innovation-funding.service.gov.uk	"BridgeAI" or "AI Champions" or "Smart Grant"
UKRI funding finder	ukri.org/opportunity	Filter by: Innovate UK + Technology + AI
RDEC / R&D; tax credit	Via your Corporation Tax return (CT600) with R&D; specialist	gov.uk/guidance/research-and-development-rd-tax-relief
Capital Allowances	Via your Corporation Tax return — with your accountant	gov.uk/guidance/full-expensing

QUESTIONS TO BRING TO YOUR R&D; ADVISER / CPA

6 Questions That Unlock Your RDEC Claim

1. Does our AI development work qualify for the merged RDEC under the DSIT Four-Part Test?

2. Which specific activities and which staff time qualify? What can we include in the claim?

3. Can we file for prior-year AI work we have not previously claimed? (Claims can go back 2 years.)

4. What is the right treatment for our AI software costs — RDEC or capital allowances?

5. Should we classify any of our AI hardware under Full Expensing or AIA? What do you need from us?

6. What documentation do you need from us to support a robust claim for this tax year?

PAGE 5

Your 90-Day Funding Action Plan

Prioritised tasks across three phases. Assign an owner and a deadline. Bring pages 2–4 to your R&D; adviser or CPA meeting in Week 2. Only work the routes you identified on Page 2.

WEEKS 1–2 Foundation — Set Up to Claim

- [ ] **Complete your AI Project Profile (Page 2 of this kit)**
  Fill in company details, AI project description, work type selector, and funding estimate. Bring this to every adviser meeting.
  OWNER: ____________________ BY: ____________

- [ ] **Find and brief a specialist R&D; tax adviser**
  Not a generalist accountant — a firm that specialises in R&D; tax credits. Many work on contingency (15–20% of credit, no upfront fee). Show them your Page 2 profile and Page 4 Four-Part Test answers.
  OWNER: ____________________ BY: ____________

- [ ] **Start your AI Activity Log immediately**
  Date · Activity · Hours · Technical uncertainty · Method tested · Outcome. Update every week from this point forward. This is your most critical evidence.
  OWNER: ____________________ BY: ____________

- [ ] **Check live Innovate UK competitions at apply-for-innovation-funding.service.gov.uk**
  Search for BridgeAI and Smart Grant rounds. The 29 April 2026 AI Champions deadline is approaching. Set a UKRI alert.
  OWNER: ____________________ BY: ____________

WEEKS 3–6 Claims & Applications

- [ ] **R&D; adviser confirms RDEC eligibility and qualifying expenditure**
  Take your completed Four-Part Test (Page 4) and Activity Log. Confirm which staff roles, contractors, and compute costs qualify. Agree the claim value before filing.
  OWNER: ____________________ BY: ____________

- [ ] **Prepare your AI project plan document for grant applications**
  Write: what AI you are building, why existing tools can't solve it, the commercial impact (£), your delivery capability. 2–3 pages. This supports BridgeAI, Smart Grants, and RDEC in one document.
  OWNER: ____________________ BY: ____________

- [ ] **Submit your BridgeAI or Smart Grant application**
  Apply via apply-for-innovation-funding.service.gov.uk. Attach your project plan. Confirm co-investment (30–75% of project cost). Allow 3–6 months for decision.
  OWNER: ____________________ BY: ____________

- [ ] **Review AI hardware purchases with your accountant — Full Expensing or AIA**
  List every hardware purchase: servers, GPUs, edge devices, WMS kit. Confirm new vs used. Your accountant claims this on your CT600. 100% Year 1 deduction — no separate application needed.
  OWNER: ____________________ BY: ____________

WEEKS 7–12 Stack & Sustain

- [ ] **File RDEC claim via your Corporation Tax return**
  Your R&D; adviser submits Form CT600L as part of your CT return. File within 2 years of your accounting period end. First-time claimants: notify HMRC in advance via the pre-notification portal.
  OWNER: ____________________ BY: ____________

- [ ] **Compile Q1 Activity Log and validate documentation with your R&D; adviser**
  Share the first 12 weeks of activity logs. Confirm documentation is sufficient. Address any gaps before they compound across the year.
  OWNER: ____________________ BY: ____________

- [ ] **Calculate your total offset across all programmes**
  Add RDEC benefit + grant award (if received) + capital allowances saving. Document the total for your board or PE sponsor.
  OWNER: ____________________ BY: ____________

- [ ] **Register interest in the AI Adoption Summit (H2 2026) via DSIT channels**
  Government-brokered event connecting companies with AI tech partners. Useful if you are still at vendor selection stage for your next AI project.
  OWNER: ____________________ BY: ____________

QUICK REFERENCE

KEY URLS		CRITICAL 2026 DEADLINES		WHO TO CONTACT (FILL IN)
Innovate UK grants:	apply-for-innovation-funding.service.gov.uk	**29 Apr 2026**	AI Champions Phase 1 closes	**R&D; Tax Adviser:**
UKRI funding finder:	ukri.org/opportunity	**Apr 2026**	Sovereign AI Unit launches	**CPA / Accountant:**
RDEC guidance:	gov.uk — search "merged RDEC scheme"	**Rolling**	BridgeAI & Smart Grant rounds	**Innovate UK Adviser:**
Full Expensing:	gov.uk/guidance/full-expensing	**H2 2026**	AI Adoption Summit (DSIT)	
		2 years	RDEC claim window from year end	

March 2026). AI Navi has no affiliation with HMRC, UKRI, Innovate UK, or HM Treasury.